Bracket creep bites hardest at the bottom and near the top

New analysis shows that, without tax cuts, rising wages push Australians into higher average tax rates, quietly boosting the budget.

WHAT HAPPENED

- Analysis by the **e61 Institute** and **Richard Holden** finds a $45,000 earner's average tax rate would rise from **11% to 16%** over a decade from 2028.
- A $190,000 earner's rate would rise from **29% to 34%**. In both cases more than half of real income growth is taxed away.
- The PBO says without bracket creep the budget would show a **0.7% of GDP deficit** by decade's end, not the projected 1% surplus.
- Opposition Leader **Angus Taylor** has pledged to index tax brackets to inflation from 2028.

11→16%
Avg tax rate, $45k earner

29→34%
Avg tax rate, $190k earner

−0.7%
Budget without bracket creep (GDP)

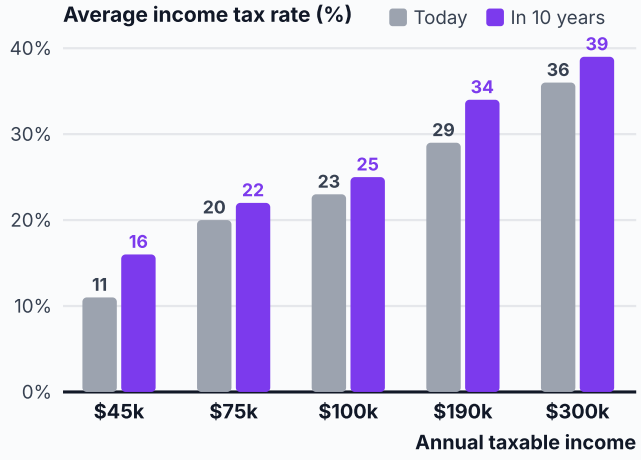
+1%
Projected surplus (GDP)

KEY TERMS

Bracket creep – Inflation pushes nominal incomes into higher tax brackets.
Fiscal drag – Rising tax revenue that automatically slows the economy.

BAR CHART

Average tax rates if no tax cuts for a decade



Tax brackets are fixed in dollars, so as wages rise with inflation, more income is taxed at higher marginal rates. **Average tax rates rise** even when real pay is barely higher.

The rise is largest for **$45k** and **$190k** earners, who are near bracket thresholds. Analysis assumes no tax cuts, though governments usually cut taxes every few years.

Exam angle: Bracket creep is a hidden contractionary force and a source of revenue growth. Indexing brackets would protect equity but cost the budget.

FLOW CHART

Cause and effect

Inflation lifts nominal wages → Workers enter higher brackets → Average tax rates rise → Revenue rises; disposable income squeezed

SYLLABUS LINK

Topic 4 – Economic Policies and Management: fiscal policy: taxation, fiscal drag and budget outcomes; links to **Topic 3** distribution of income.

TRY THIS (4 marks)

Explain how bracket creep affects the budget outcome and the distribution of income in Australia.

Sources: ABC News – Bracket creep worst for minimum wage earners and those entering top bracket (11 Nov 2026): https://www.abc.net.au/news/2026-11-11/how-much-bracket-creep-costs-you-based-on-your-income/107372442